

Economic Conditions and the Nonprofit Sector

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Eight Key Points of Economic Thinking

- ① Using resources is costly, so decisions-makers must make trade-offs
- ② Individuals maximize their utility with respect to their resource constraints
 - Utility - Subjective benefit or satisfaction received from an action
 - Term Economists broadly use to measure individual benefit
- ③ Incentives (monetary and others) influence choice predictably
- ④ Individuals make decisions at the margin
 - Marginal change - net change to current circumstances

Eight Key Points of Economic Thinking

- ⑤ Information aids decision making and is costly
- ⑥ Economic actions generally have indirect effects (unintended consequences)
- ⑦ Economic value is subjective due to differing preferences
- ⑧ The test of a theory is that theory's ability to predict outcomes
 - The study of economics is generally broken down into two fields:
 - Microeconomics – Branch of economics focusing on individual human interactions, with aggregation up to individual households or firms within a sector.
 - Macroeconomics – Branch of economics focusing on human behavior across aggregated markets and nations.

The Market Economy in a Slide

- Resources – Inputs used to produce economic goods
- Scarcity – There are less of an economic good freely available than desired in an unconstrained world
- Opportunity cost – The value of the next preferred alternative sacrificed in a decision
- Law of Demand – There is an inverse relationship between the price of a good or service and the quantity of that good consumers are willing to purchase. *Ceteris Paribus*.
- Law of Supply – There is a relationship driving production such that as the price of a a good increases, producers are willing to supply more of the good. *Ceteris Paribus*.
- Market – An abstract concept encompassing the forces of supply and demand, along with the interactions of buyers and sellers interacting via exchange.
- Shortage – quantity supplied is less than quantity demanded.
- Surplus – quantity supplied is greater than quantity demanded.
- Market Equilibrium – quantity supplied is equal to quantity demanded

Microeconomics of a Nonprofit Firm

- Firms generally participate in two markets: the resource market and the product market
- **Product Market:** The market for final goods and services
- **Resource Market:** The market for inputs used to produce goods and services
- Nonprofit organizations are no different, especially in the resource market
- Resource examples include:
 - Labor
 - Physical capital (building occupied, equipment, etc)
 - Donations
- The product market gets to be a little tricky dependent upon what subsector an organization is in. Especially if the good provided is not a traditional private good (rivalrous and excludable)

Quantifying the economy

- Gross Domestic Product
 - Definition: The market value of all final goods and services produced within a country during a specific period
- How do we count GDP?
 - Only by counting transactions of final goods and services
 - Only by counting transactions involving production
 - Only production within the country is counted
 - Only goods produced within the time period is counted
- All these goods and services are measured in dollar value. This is due to the relative difficulty of comparing items otherwise.

Deriving GDP through Output

- Expenditure Approach: $C + I + G + X = GDP$

- ① C - Consumption

- Purchases of consumer goods and services by households

- ② I - Investment

- Replacement of machinery, equipment, and buildings worn out throughout the year
 - Net additions to the stock of capital assets (spending minus depreciation)
 - Inventory investment - changes in stock of unsold goods and raw materials held

- ③ G - Government Spending

- Government Consumption (Ex: operational expenses, government employee salaries such as law enforcement, things keeping public sector lights on)
 - Government Investment - Purchasing of capital goods such as infrastructure spending

- ④ X - Net Exports = Total Exports - Total Imports

- Exports: Domestically produced goods and services sold internationally.
 - Imports: Foreign-produced goods and services purchased domestically.

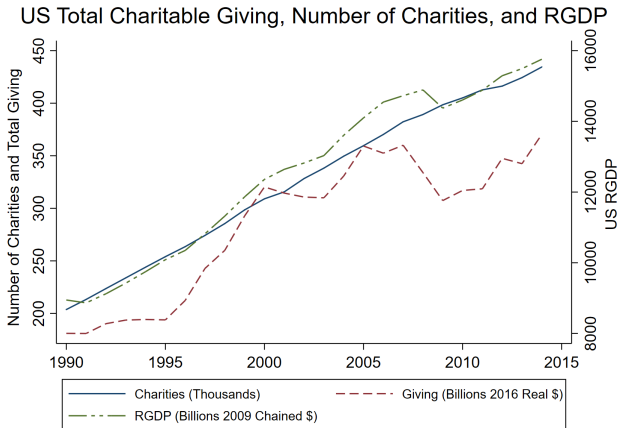
The Business Cycle

- Let's begin by looking at the St Louis FRED database on changes in GDP over time.
- The series of peaks and troughs throughout this graph make-up the *business cycle*
- Business Cycle: Fluctuations in the general level of economic activity
- Phases:
 - Expansion - increasing business activity in the economy
 - Peak (Boom) - highest point of economic activity
 - Recession - decreasing economic activity
 - Trough (Bust) - lowest point of economic activity

Issues with Dollar Valuation

- Monetary value changes year to year due to **inflation**
- Inflation: An increase in the general level of prices of goods and services
- Calculating the changing value of the dollar over every good and service in the economy is an incredibly difficult task
- Two commonly used indexes to approximate inflation are the Consumer Price Index and the GDP Deflator
- Consumer Price Index
 - Designed to measure the impact of price changes on the cost of the typical bundle of goods purchased by goods.
 - 211 item categories constitute the "typical bundle" by the urban consumers starting in 1982-1984.
 - Maintained by the Bureau of Labor Statistics
 - Believed by economists to overstate impact of price increases as it does not account for household substitution.
 - To account for substitution effects, the BLS also provides a measure called the *Chained CPI*

Macroeconomic Impacts on Nonprofit Operations



- Demand for human services in times of unemployment (correlated with economic downturn) increase, yet operations and financial capacity decrease. *How do these forces interact?*